# INC-2026-03-02: Verifies merchant identity documents against third-party reg degradation

Northwind Payments · SEV2 · service kyc-service · author t.lindqvist

Started 2026-03-02T22:00:00Z · detected 2026-03-02T22:11:00Z · resolved 2026-03-02T22:28:00Z

## Customer impact

Merchant onboarding was blocked for 3 hours 40 minutes. 71 merchant applications queued and were processed after the fix.

## Root cause

A third-party identity registry changed its response schema without notice, and the parser rejected every response as invalid.

## Affected services

kyc-service, checkout-api. Downstream services were affected through their dependency on kyc-service.

## Timeline (UTC)

22:00 — First symptoms observed on kyc-service.

22:11 — Alert pages the on-call engineer for kyc-service.

22:19 — Cause identified and mitigation begins.

22:28 — Service returns to baseline; incident resolved.

## Action items

• Add saturation alerting to kyc-service at 80% of limits.

• Require a load test for configuration changes of this class.

• Document the mitigation steps in the service runbook.